Krsnaa Diagnostics

6 February 2026

Revenue Growth subdued, but B2C gaining momentum

RESULT UPDATE

Sector: Healthcare	**Rating: BUY**
CMP: Rs 701	**Target Price: Rs 1,056**

Stock Info

Sensex/Nifty	83,580/25,694
Bloomberg	KRSNAA IN
Equity shares	32.3mn
52-wk High/Low	Rs 898/628
Face value	Rs 5
M-Cap	Rs 22.9bn/ USD 0.2bn

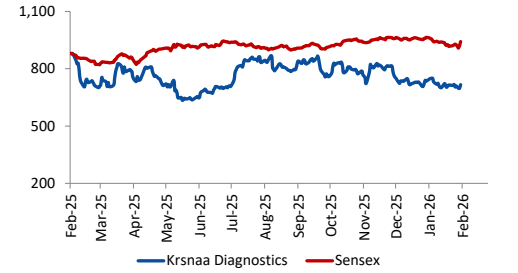
Financial Snapshot (Rs mn)

Y/E March	FY26E	FY27E	FY28E
Sales	8,035	10,044	12,053
Gross profit	6,174	7,633	9,124
Gross Margin %	76.8	76.0	75.7
EBITDA	2,157	2,662	3,218
Margin %	26.9	26.5	26.7
PAT	807	1,057	1,479
EPS	25.1	32.8	45.9
DPS(Rs)	-	-	-
ROCE(%)	11.5	12.8	15.3
P/E(x)	33.2	25.4	18.1
EV/EBITDA (x)	11.2	10.5	8.2

Shareholding pattern (%)

	Jun-25	Sep-25	Dec-25
Promoter	27.11	27.11	27.11
FII	3.40	3.66	4.17
DII	14.24	14.96	13.85
Others	55.25	54.27	54.86

Stock Performance (1-year)



Vishal Manchanda
vishalmanchanda@systematixgroup.in
+91 9737437148

Loveleen Bagga, CA
loveleenbagga@systematixgroup.in
+91 22 6704 8043

Virti Shah
virtishah@systematixgroup.in
+91 22 6704 8099

Krsnaa Diagnostics' (KRSNAA IN) Q3FY26 Revenue (Rs 1,812 mn; up 3.8% YoY) and Net Income (Rs 154 mn; down 20.7% YoY) were below our expectations owing to slowdown in execution at certain centers. The revenue contribution from South and East zone witnessed a material decline on a YoY basis. Owing to extended receivable collection cycle and significant capex needs (Rajasthan tender) the company took disciplined actions to improve working capital efficiency, which translated into a recovery of Rs. 1300mn in receivables during the quarter. The EBITDA margins were inline, despite the weakness in revenue growth. Contribution from retail business is trending favorably and touched 10% of group revenue during the quarter (8% in Q3FY26). Gross margins expanded 100bps QoQ, potentially led by higher retail contribution. With execution of Rajasthan tender expected to begin shortly, we should expect accelerated revenue growth going forward. We tweak our estimate and roll forward to FY28E. We retain buy with a revised price target of Rs. 1056 based on 23x FY28E EPS. We forecast 22.48 % Revenue / 22.13% EBITDA /35.37% PAT CAGR over FY26-28E.

Q3FY26 earnings highlights

Krsnaa Diagnostics reported Revenue at Rs 1,812 mn in 3QFY26, up 3.8% on a YoY basis and down 12% on a QoQ basis. EBITDA stood at Rs 465 mn in 3QFY26, up 3.2% on a YoY basis and down 21.4% on a QoQ basis. EBITDA margin for 3QFY26 was 25.7%, down 17 bps on a YoY basis and down 306 bps on a QoQ basis.PAT stood at Rs 154 mn in 3QFY26, down 20.7% on a YoY basis and down 35.7% on a QoQ basis.PAT margin for 3QFY26 was 8.5%, down 263 bps on a YoY basis and down 312 bps on a QoQ basis.

Q3FY26 earnings call highlights

- Q3 was typically seasonally weak and revenue was also hit by halting of operations due pending government dues.

Rajasthan Expansion:

- Rajasthan pathology project is in the final phase of execution, with most costs already incurred.
- Revenue contribution is expected to meaningfully pick up from FY'27, as centres stabilise.
- Pathology mix is expected to rise towards ~65% as Rajasthan scales up over the medium term.

Collections & Working Capital

- ₹130 cr of government receivables were collected during the period, with an additional ~₹100 cr improvement YoY.
- Improvement in collections has helped ease working capital stress.

Investors are advised to refer disclosures made at the end of the research report.

Radiology Business

- Consolidated business mix remains balanced at ~50% radiology and ~50% pathology.
- Radiology assets continue to have long useful life (MRI ~40 years; CT ~8–10 years).
- Maharashtra radiology PPP is under execution; revenue expected to start once approvals are in place, probably by next quarter.
- ~10 MRI installations are nearing completion.

Retail / B2C Expansion

- Retail revenues have scaled sharply, growing ~8x YoY from a low base.
- Retail now contributes ~10% of overall revenue, supported by a ~7% QoQ increase in touchpoints.
- B2B share has reduced to ~34% from ~90% earlier, indicating a gradual mix shift.

Hospital Foray (Apulki Healthcare)

- Entered hospital segment via PPP-based cancer and cardiac care model, marking a strategic expansion beyond diagnostics into integrated tertiary care.
- Expected to contribute ~200 Mn revenue after a mature level of 2-3 years.
- Pune hospital (150 beds) is operational; approvals in place for 4 additional hospitals (~600 beds).
- Long-term plan includes ~10 hospitals (~2,000+ beds) and 15+ PET-CT installations.

Order Book & PPP Strategy

- Rajasthan remains the largest project focus area.
- PPP bidding remains selective, prioritising scale and return visibility over aggressive expansion.

Exhibit 1: Quarterly Performance

Particulars (Rs mn)	3QFY25	2QFY26	3QFY26	YoY (%)	QoQ (%)	FY24	FY25	YoY (%)
Revenue from operations	**1,745**	**2,060**	**1,812**	***3.8***	***(12.0)***	**6,196**	**7,172**	***15.7***
Raw Material Costs	399	481	391	*(2.0)*	*(18.8)*	1,410	1,693	*20.0*
% of revenue	*22.9*	*23.4*	*21.6*	*(129) bps*	*(179) bps*	*22.8*	*23.6*	*84 bps*
Staff costs	359	354	362	*0.9*	*2.3*	1,115	1,368	*22.7*
% of revenue	*20.6*	*17.2*	*20.0*	*(57) bps*	*279 bps*	*18.0*	*19.1*	*108 bps*
Other expenses	537	633	594	*10.7*	*(6.1)*	2,229	2,210	*(0.8)*
% of revenue	*30.8*	*30.7*	*32.8*	*203 bps*	*206 bps*	*36.0*	*30.8*	*(515) bps*
EBITDA	**451**	**592**	**465**	***3.2***	***(21.4)***	**1,442**	**1,901**	***31.8***
EBITDA margin (%)	***25.8***	***28.7***	***25.7***	***(17) bps***	***(306) bps***	***23.3***	***26.5***	***323 bps***
Other income	92	42	38	*(58.9)*	*(8.9)*	168	255	*52.0*
Interest costs	61	82	78	*27.2*	*(4.8)*	165	247	*49.5*
Depreciation	227	236	227	*(0.0)*	*(3.8)*	745	883	*18.5*
Exceptional Items	0	0	0	*NA*	*NA*	0		*NA*
PBT	**255**	**316**	**198**	***(22.3)***	***(37.2)***	**700**	**1,027**	***46.7***
Tax	61	76	44	*(27.4)*	*(42.2)*	132	251	*90.4*
Tax rate (%)	*23.8*	*24.1*	*22.2*	*(157) bps*	*(191) bps*	*18.8*	*24.4*	*561 bps*
PAT	**194**	**239**	**154**	***(20.7)***	***(35.7)***	**568**	**776**	***36.5***
PAT Margin (%)	***11.1***	***11.6***	***8.5***	***(263) bps***	***(312) bps***	***9.2***	***10.8***	***165 bps***

Source: Company, Systematix Research

Exhibit 2: Margin Summary

Particulars (%)	3QFY24	4QFY24	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26
Gross Margin	78%	74%	75%	76%	77%	78%	75%	77%	78%
EBITDA Margin	24%	26%	25%	27%	26%	28%	27%	29%	26%
EBIT Margin	10%	15%	12%	15%	13%	17%	15%	17%	13%
PAT Margin	8%	11%	11%	11%	11%	11%	11%	12%	8%

Source: Company, Systematix Research

Exhibit 3: Change in estimates

Particulars (Rs mn)	New estimates		Old estimates		Change (%)	
	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
Net sales	8,035	10,044	8,425	12,325	*(4.6)*	*(18.5)*
EBITDA	2,157	2,662	2,312	3,143	*(6.7)*	*(15.3)*
Margin (%)	27	27	27	25	*(15) bps*	*150 bps*
PAT	807	1,057	907	1,328	*(11.0)*	*(20.4)*
Margin (%)	*10.0*	*10.5*	*10.8*	*10.8*	*(76) bps*	*(28) bps*
EPS	25.1	32.8	28.2	41.2	*(11.1)*	*(20.3)*

Source: Company, Systematix Research

Exhibit 4: Actual vs Estimates

Particulars (Rs mn)	Actuals	Systematix	Var(%)	Cons.	Var(%)
Net sales	1,812	2,007	*(9.7)*	2,086	*(13.1)*
EBITDA	465	502	*(7.4)*	550	*(15.5)*
Margin (%)	*25.7*	*25.0*	*65 bps*	*26.4*	*(72) bps*
PAT	154	171	*(9.9)*	214	*(27.9)*
Margin (%)	*8.5*	*8.5*	*(2) bps*	*10.2*	*(174) bps*

Source: Company, Systematix Research

FINANCIALS

Profit & Loss Statement

YE: Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Net Revenues	**6,196**	**7,172**	**8,035**	**10,044**	**12,053**
YoY gr. (%)	27%	16%	12%	25%	20%
Cost of Goods Sold	1,410	1,693	1,860	2,411	2,929
Gross Profit	4,786	5,479	6,174	7,633	9,124
Margin (%)	77.2%	76.4%	76.8%	76.0%	75.7%
Employee Cost	1,115	1,368	1,518	1,808	2,170
Other Expenses	1,574	1,603	1,875	2,411	2,893
Fees to hospitals and others	655	607	624	753	844
EBITDA	**1,442**	**1,901**	**2,157**	**2,662**	**3,218**
YoY gr. (%)	17.9%	31.8%	13.5%	23.4%	20.9%
Margin (%)	23%	27%	27%	27%	27%
Depreciation & Amortization	745	883	926	1,118	1,178
EBIT	697	1,018	1,231	1,543	2,040
Margin (%)	11%	14%	15%	15%	17%
Net Interest	165	247	313	242	242
Other Income	168	255	157	108	174
Exceptional Items	-	-	-	-	-
Profit Before Tax	700	1,027	1,076	1,409	1,971
Margin (%)	11%	14%	13%	14%	16%
Total Tax	132	251	269	352	493
Effective tax rate (%)	19%	24%	25%	25%	25%
Minority Interest & Share of Loss from Associates	-	-	-	-	-
Profit after tax	568.4	776	807	1,057	1,479
EPS	17.7	24.1	25.1	32.8	45.9
YoY gr. (%)	-8%	37%	4%	31%	40%

Source: Company, Systematix Research

Balance Sheet

YE: Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Equity Share Capital	161	161	161	161	161
Reserves & Surplus (Ex OCI)	7,937	8,666	9,473	10,530	12,008
Net Worth	**8,098**	**8,828**	**9,635**	**10,691**	**12,170**
Short term debt	1,179	1,564	1,564	1,564	1,564
Long term debt	419	472	1,472	1,472	1,472
Trade payables	823	971	1,101	1,376	1,651
Other Provisions					
Other liabilities	1,200	982	982	982	982
Total Liabilities	**11,719**	**12,816**	**14,752**	**16,084**	**17,838**
Net block	6,472	6,704	9,274	8,906	29
CWIP	98	30	30	30	30
Other Non-current asset	934	1,622	1,622	1,622	1,622
Investments	3	315	315	315	315
Cash and Cash Equivalents	1,752	684	798	1,891	11,914
Debtors	1,763	2,777	1,981	2,477	2,972
Inventories	358	295	330	413	495
Other current asset	339	388	401	430	460
Total Assets	**11,719**	**12,816**	**14,752**	**16,084**	**17,838**

Source: Company, Systematix Research

Cash Flow

YE: Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
PBT	700	1,027	1,076	1,409	1,971
Depreciation	745	883	926	1,118	1,178
Interest	13	94	54	-35	-56
Others	-59	3	-	-	-
Working capital	-968	-934	878	-332	-332
Direct tax	-188	-199	-269	-352	-493
Net cash from Op. activities	**243**	**873**	**2,664**	**1,807**	**2,268**
Net Capital expenditures	-1,930	-1,117	-3,496	-750	7,698
Others	641	121	259	278	299
Net Cash from Invt. activities	**-1,289**	**-996**	**-3,237**	**-472**	**7,997**
Issue of share cap. / premium	-	-	-	-	-
Debt changes	-55	130	1,000	-	-
Dividend paid	-86	-81	-	-	-
Others	983	-370	-313	-242	-242
Net cash from Fin. activities	**842**	**-321**	**687**	**-242**	**-242**
Net change in cash	**-204**	**-444**	**114**	**1,093**	**10,023**

Source: Company, Systematix Research

Ratios

YE: Mar	FY24	FY25	FY26E	FY27E	FY28E
Per Share(Rs)					
EPS	17.7	24.1	25.1	32.8	45.9
CEPS	41.8	52.8	55.2	69.3	84.6
BVPS	252.8	276.0	301.7	335.3	382.4
DPS	2.7	2.6	-	-	-
Return Ratio(%)					
RoCE	8%	11%	12%	13%	15%
RoE	7%	9%	9%	10%	13%
Balance Sheet					
Net Debt : Equity (x)	-0.0	0.2	0.2	0.1	-0.7
Net Working Capital (Days)	48.8	86.5	75.2	49.5	50.4
Valuation(x)					
PER	47.2	34.6	33.2	25.4	18.1
EV/EBITDA	12.8	12.7	11.2	10.5	8.2
EV/Sales	5.4	4.3	3.9	3.6	2.8
Receivables (days)	73.5	115.5	108.1	81.0	82.5
Inventory (days)	17.9	16.6	14.2	13.5	13.7
Payables (days)	42.5	45.7	47.1	45.0	45.8

Source: Company, Systematix Research

DISCLOSURES/APPENDIX

I. ANALYST CERTIFICATION

I, **Vishal Manchanda, Loveleen Bagga, CA; Virti Shah,** hereby certify that (1) views expressed in this research report accurately reflect my/our personal views about any or all of the subject securities or issuers referred to in this research report, (2) no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this research report by **Systematix Shares and Stocks (India) Limited (SSSIL)** or its group/associate companies, (3) reasonable care is taken to achieve and maintain independence and objectivity in making any recommendations.

Disclosure of Interest Statement	Update
Analyst holding in the stock	No
Served as an officer, director or employee	No

I. **ISSUER SPECIFIC REGULATORY DISCLOSURES,** unless specifically mentioned in point no. 9 below:

1. The research analyst(s), SSSIL, associates or relatives do not have any financial interest in the company(ies) covered in this report.
2. The research analyst(s), SSSIL, associates or relatives collectively do not hold more than 1% of the securities of the company(ies) covered in this report as of the end of the month immediately preceding the distribution of the research report.
3. The research analyst(s), SSSIL, associates or relatives did not have any other material conflict of interest at the time of publication of this research report.
4. The research analyst, SSSIL and its associates have not received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in this report in the past twelve months.
5. The research analyst, SSSIL or its associates have not managed or co-managed a private or public offering of securities for the company(ies) covered in this report in the previous twelve months.
6. SSSIL or its associates have not received compensation or other benefits from the company(ies) covered in this report or from any third party in connection with this research report.
7. The research analyst has not served as an officer, director or employee of the company(ies) covered in this research report.
8. The research analyst and SSSIL have not been engaged in market making activity for the company(ies) covered in this research report.
9. Details of SSSIL, research analyst and its associates pertaining to the companies covered in this research report:

Sr. No.	Particulars	Yes / No.
1	Whether compensation was received from the company(ies) covered in the research report in the past 12 months for investment banking transaction by SSSIL.	No
2	Whether research analyst, SSSIL or its associates and relatives collectively hold more than 1% of the company(ies) covered in the research report.	No
3	Whether compensation has been received by SSSIL or its associates from the company(ies) covered in the research report.	No
4	Whether SSSIL or its affiliates have managed or co-managed a private or public offering of securities for the company(ies) covered in the research report in the previous twelve months.	No
5	Whether research analyst, SSSIL or associates have received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in the research report in the last twelve months.	No

10. There is no material disciplinary action taken by any regulatory authority that impacts the equity research analysis activities.

STOCK RATINGS

BUY (B): The stock's total return is expected to exceed 15% over the next 12 months.
HOLD (H): The stock's total return is expected to be within -15% to +15% over the next 12 months.
SELL (S): The stock's total return is expected to give negative returns of more than 15% over the next 12 months.
NOT RATED (NR): The analyst has no recommendation on the stock under review.

INDUSTRY VIEWS

ATTRACTIVE (AT): Fundamentals/valuations of the sector are expected to be attractive over the next 12-18 months.
NEUTRAL (NL): Fundamentals/valuations of the sector are expected to neither improve nor deteriorate over the next 12-18 months.
CAUTIOUS (CS): Fundamentals/valuations of the sector are expected to deteriorate over the next 12-18 months.

II. DISCLAIMER

The information and opinions contained herein have been compiled or arrived at based on the information obtained in good faith from sources believed to be reliable. Such information has not been independently verified and no guaranty, representation of warranty, express or implied, is made as to its accuracy completeness or correctness.

This document is for information purposes only. This report is based on information that we consider reliable; we do not represent that it is accurate or complete and one should exercise due caution while acting on it. Description of any company(ies) or its/their securities mentioned herein are not complete and this document is not and should not be construed as an offer or solicitation of an offer to buy or sell any securities or other financial instruments. Past performance is not a guide for future performance, future returns are not guaranteed and a loss of original capital may occur. All opinions, projections and estimates constitute the judgment of the author as on the date of the report and these, plus any other information contained in the report, are subject to change without notice. Prices and availability of financial instruments are also subject to change without notice. This report is intended for distribution to institutional investors.

This report is not directed to or intended for display, downloading, printing, reproducing or for distribution to or use by, any person or entity that is a citizen or resident or located in any locality, state, country or other jurisdiction where such distribution, publication, reproduction, availability or use would be contrary to law or regulation or what would subject to SSSIL or its affiliates to any registration or licensing requirement within such jurisdiction. If this report is inadvertently sent or has reached any individual in such country, especially USA, the same may be ignored and brought to the attention of the sender. Neither this document nor any copy of it may be taken or transmitted into the United States (to U.S. persons), Canada, or Japan or distributed, directly or indirectly, in the United States or Canada or distributed or redistributed in Japan or to any resident thereof. Any unauthorized use, duplication,

redistribution or disclosure of this report including, but not limited to, redistribution by electronic mail, posting of the report on a website or page, and/or providing to a third party a link, is prohibited by law and will result in prosecution. The information contained in the report is intended solely for the recipient and may not be further distributed by the recipient to any third party.

SSSIL generally prohibits its analysts, persons reporting to analysts, and members of their households from maintaining a financial interest in the securities or derivatives of any companies that the analysts cover. Additionally, SSSIL generally prohibits its analysts and persons reporting to analysts from serving as an officer, director, or advisory board member of any companies that they cover. Our salespeople, traders, and other professionals or affiliates may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein. Our proprietary trading and investing businesses may make investment decisions that are inconsistent with the recommendations expressed herein. The views expressed in this research report reflect the personal views of the analyst(s) about the subject securities or issues and no part of the compensation of the research analyst(s) was, is, or will be directly or indirectly related to the specific recommendations and views expressed by research analyst(s) in this report. The compensation of the analyst who prepared this document is determined exclusively by SSSIL; however, compensation may relate to the revenues of the Systematix Group as a whole, of which investment banking, sales and trading are a part. Research analysts and sales persons of SSSIL may provide important inputs to its affiliated company(ies).

Foreign currencies denominated securities, wherever mentioned, are subject to exchange rate fluctuations which could have an adverse effect on their value or price or the income derived from them. In addition, investors in securities such as ADRs, the values of which are influenced by foreign currencies, effectively assume currency risk. SSSIL, its directors, analysts or employees do not take any responsibility, financial or otherwise, of the losses or the damages sustained due to the investments made or any action taken on the basis of this report including but not restricted to fluctuation in the prices of shares and bonds, changes in the currency rates, diminution in the NAVs, reduction in the dividend or income, etc.

SSSIL and its affiliates, officers, directors, and employees subject to the information given in the disclosures may: (a) from time to time, have long or short positions in, and buy or sell, the securities thereof, of company (ies) mentioned herein or (b) be engaged in any other transaction involving such securities and earn brokerage or other compensation (financial interest) or act as a market maker in the financial instruments of the company (ies) discussed herein or act as advisor or lender / borrower to such company (ies) or have other potential material conflict of interest with respect to any recommendation and related information and opinions. The views expressed are those of the analyst and the company may or may not subscribe to the views expressed therein.

SSSIL, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall SSSIL, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. The company accepts no liability whatsoever for the actions of third parties. The report may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the report refers to website material of the company, the company has not reviewed the linked site. Accessing such website or following such link through the report or the website of the company shall be at your own risk and the company shall have no liability arising out of, or in connection with, any such referenced website.

SSSIL will not be liable for any delay or any other interruption which may occur in presenting the data due to any technical glitch to present the data. In no event shall SSSIL be liable for any damages, including without limitation, direct or indirect, special, incidental, or consequential damages, losses or expenses arising in connection with the data presented by SSSIL through this presentation.

SSSIL or any of its other group companies or associates will not be responsible for any decisions taken on the basis of this report. Investors are advised to consult their investment and tax consultants before taking any investment decisions based on this report.

Registration granted by SEBI to SSSIL and certification from NISM to the analyst in no way guarantee performance of SSSIL or to provide any assurance of returns to investors.

Systematix Shares and Stocks (India) Limited:
Registered and Corporate address: The Capital, A-wing, No. 603 – 606, 6th Floor, Plot No. C-70, G Block, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Tel no. 022-66198000/40358000 Fax no. 022-66198029/40358029 Email id contactus@systematixgroup.in. Visit us at: www.systematixgroup.in
Details of Compliance officer: Ms Nipa Savla, Compliance officer Tel no. 022-66198092/4035808092 Email id compliance@systematixgroup.in
Details of Email id grievance redressal cell : grievance@systematixgroup.in
Details of Registration : CIN - U65993MH1995PLC268414 | BSE SEBI Reg. No.: INZ000171134 (Member Code: 182) | NSE SEBI Reg. No.: INZ000171134 (Member Code: 11327) | MCX SEBI Reg. No.: INZ000171134 (Member Code: 56625) | NCDEX SEBI Reg. No.: INZ000171134 (Member Code: 1281) | Depository Participant SEBI Reg. No.: IN-DP-480-2020 (DP Id: 12034600) | PMS SEBI Reg. No.: INP000002692 | Research Analyst SEBI Reg. No.: INH200000840 | AMFI : ARN - 64917